WEEK 7 · LECTURE L2 OF 3 · UNIT III

Evidence-Based HR and Metrics

What analytics delivers when it works, the traps that stop it, and the difference between a metric, a KPI and a vanity number.

Part 1 Data and capability traps

Part 2 Metric, KPI, vanity number; leading and lagging

Part 3 Turning a vague question into an answerable one

Read Davenport, Harris and Shapiro (2010)

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PART 1 · TWO KINDS OF TRAP

Why analytics fails, all present at GreenLeaf

Data traps	Capability traps
Split records across two HRIS	No owner for analytics
Inconsistent definitions across teams	Reports run, questions never framed
Missing populations: frontline and gig	Analysis handed to vendors
Data entered for administration, not analysis	Leaders ask for numbers, not decisions

THE POINT Fixing data without building capability produces cleaner reports that nobody uses.

PART 2 · THREE KINDS OF MEASURE

Metric, KPI, vanity number

Metric

Any measure, for example the number of logins.

KPI

A metric tied to a goal, with an owner and a target, for example Tier 3 active use to 40% by March, owned by regional HR.

Vanity number

Looks good and drives no decision. Spreadsheet adoption 1.00; ESS "logged in once" 90.0% against 44.8% active use.

LEADING AND LAGGING

Leading indicators move before the outcome (engagement, manager quality). Lagging indicators record it afterward (attrition).

PART 3 · FROM A VAGUE QUESTION TO AN ANSWER

"Why are stores losing people?" made answerable

Element	Specified
Population	All 1,000 sampled staff, active and exited
Comparison	Exit rate by manager effectiveness score
Data	PeopleAnalytics_Fact, Manager_Effectiveness_1to5 and Actual_Attrition
Decision	Where to invest in manager coaching

Manager effectiveness	Exit rate
Below 2.5 (143 staff)	37.1%
2.5 to 3.5	23.9%
Above 3.5	11.8%

Going deeper: the theory underneath evidence-based HR

The next slides set out LAMP, Pfeffer and Sutton's evidence-based management, Briner and Rousseau's four sources of evidence, and the logic model: what each claims, how it works, where it breaks, and what it means at GreenLeaf.

THEORY IN DEPTH · BOUDREAU AND RAMSTAD (2007)

LAMP: four links that make analytics matter

THE CORE IDEA

Analytics changes decisions only when four elements work together.

HOW IT WORKS

Logic (a causal story), Analytics (sound methods), Measures (valid data), Process (a route into decisions).

LIMITS AND CRITIQUE

A framework for diagnosis rather than a tested theory.

AT GREENLEAF

InsightHR supplies analytics, but GreenLeaf lacks logic, trusted measures and a decision process. One link of four.

THEORY IN DEPTH · PFEFFER AND SUTTON (2006)

Evidence-based management: decide on the best evidence

THE CORE IDEA

Managers often act on habit, imitation and belief rather than evidence.

HOW IT WORKS

Face hard facts, treat the organization as a prototype, look for risks, avoid untested beliefs, update when evidence changes.

LIMITS AND CRITIQUE

Good evidence is often missing in management, so judgment remains necessary.

AT GREENLEAF

Faith in the flight-risk model is an untested belief. Round 4 showed why it needed testing.

THEORY IN DEPTH · BRINER, DENYER AND ROUSSEAU (2009)

Evidence comes from four sources

THE CORE IDEA

Evidence-based decisions combine four kinds of evidence, not research alone.

HOW IT WORKS

Practitioner expertise, local organizational data, scientific research, and the values of those affected.

LIMITS AND CRITIQUE

Weighing the sources against each other has no formula; it takes judgment.

AT GREENLEAF

A Tier 3 store manager's experience is evidence too, and so are Lakshmi's preferences.

THEORY IN DEPTH · W. K. KELLOGG FOUNDATION (2004)

The logic model: from inputs to impact

THE CORE IDEA

A program works through a chain: inputs, activities, outputs, outcomes, impact.

HOW IT WORKS

Outputs (courses completed) are not outcomes (skills used), and outcomes are not impact (lower attrition).

LIMITS AND CRITIQUE

Real programs have feedback loops and delays the straight chain hides.

AT GREENLEAF

Counting GreenLearn completions measures outputs. The Board cares about outcomes and impact.

TAKEAWAYS

Three things to carry out of this lecture

1

Fix capability as well as data, or analytics will not be used.

2

A KPI has a goal, an owner and a target; a vanity number has none.

3

Specify population, comparison, data and decision before analyzing.

NEXT Round 4: auditing the hiring algorithm.